promote their tourism industry with a degree of professionalism and continuity. According to the Aristotle University in Thessaloniki, tourism in Greece peaked in 1990, at about the same time as tourism worldwide reached a peak. Over the years, Greece has welcomed tourists who have been interested in very different things, culminating in mass tourism, which has been in decline for the past decade. With a poor economic outlook, Greece needs to look for alternatives and seize on them quickly before its competitors do.

**19-14** Develop a relevant demographic profile of a potential new market for a country like Greece that is looking to attract alternative tourist markets. (AACSB: Communication; Use of IT; Reflective Thinking)

**19-15** For the market you selected, is this an attractive market for the Greek tourism sector? Refer to Appendix 2: Marketing by the Numbers to develop a market potential estimation of this market. (AACSB: Communication; Analytic Reasoning; Reflective Thinking)

## Video Case The U.S. Film Industry

If you like movies, you've no doubt seen a foreign film at some point. But did you know that American films are some of the biggest and most anticipated foreign films in the world? In fact, foreign box office and DVD sales account for nearly 70 percent of all revenues for the U.S. film industry. With that much financial impact, foreign markets are playing a bigger and bigger role not only in the pricing, distribution, and promotion of U.S. films, but in the product itself.

This video illustrates the challenges faced by the U.S. film industry stemming from differences in the marketing environment throughout different international markets. The result is that this industry is now like any other export industry: The marketing mix must be adapted at an optimum level in order to meet the needs of global markets while still maintaining the benefits of standardization.

After viewing this video, answer the following questions about the U.S. film industry and the global marketplace:

**19-16** Which part of the marketing environment seems to be having the greatest impact on U.S. films abroad?

**19-17** Which of the five strategies for adapting products and promotion for the global market is most relevant to the U.S. film industry?

**19-18** Is the U.S. film industry now dependent upon foreign markets for success? Compare the export of U.S. films to other U.S. exports.

## Company Case IKEA: Making Life Better for the World's Many People

Walmart may be the biggest retailer in the world. But IKEA is the largest furniture retailer. Last year, more than 684 million shoppers flocked to the Scandinavian retailer's 303 huge stores in 26 countries, generating revenues of more than $36 billion. That's an average of more than $118 million per store per year, about two-and-a-half times the average sales of a Walmart store. From Beijing to Moscow to Middletown, Ohio, customers pour into IKEA's stores for simple, practical furniture at affordable prices. IKEA is big and getting bigger—its sales have doubled during the past decade. But it's also practical and methodical, growing by only 20 or so superstores each year.

Even these big numbers don't begin to illustrate the impact that IKEA has had on consumers all over the world. Far more than just a big furniture chain, IKEA has achieved global growth and success by connecting with consumers of all nationalities and cultures. IKEA has excelled as a curator of people's lifestyles. Consumers around the world shop at IKEA to signal that they have arrived, that they both have good taste and recognize value. In fact, without IKEA, many people in the world would have little access to affordable, contemporary products for their homes. IKEA's mission is to "create a better everyday life for the many people." It accomplishes this seemingly impossible mission by striking just the right balance between global brand standardization and catering to the local cultural differences in global markets.

### A Standardized Global Brand

*In the 1940s, Ingvar Kamprad developed what became known as the "IKEA Concept." He was a native of Småland, Sweden, where the soil was poor and the people had a reputation for working hard, living frugally, and making the most of limited resources. The IKEA Concept reflects those characteristics—"offering a wide range of well-designed, functional home furnishing products at prices so low that as many people as possible will be able to afford them."

Some aspects of IKEA's products are consistent in all markets. For starters, its products are rooted in Swedish, contemporary design. The classic, simple lines of the IKEA design produce timeless products that few companies in any industry can match. For example, POANG—an upholstered chair based on a laminated, bentwood frame with only two front legs—was created in 1976 but remains one of the company's best-selling lines today. The same holds true for the BILLY bookcase. In fact, most of IKEA's best-selling products have been around for years. And that's how IKEA intends customers to enjoy them—for years.

Low price is another key common component of IKEA's products. The benchmark for every IKEA product is half the price of similar products from competitors. And with its relentless focus on cost-cutting, IKEA can keep the price of a product constant or even reduce it over time. Selling the same products in every market achieves scale, which also contributes to IKEA's low-cost structure. So does its "flat pack" approach—designing furniture so that it can be packed and sold in pieces and assembled by customers at home.

IKEA stores around the world also share a standard design. For starters, they're huge. At an average size of 300,000 square feet, the average IKEA store exceeds the size of the average Walmart Supercenter by 50 percent. These large stores let IKEA achieve another aspect of its global brand concept—a one-stop home shopping experience that includes furniture, appliances, and household goods for every room. Although such massive



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size may be overwhelming to some consumers, IKEA's stores are organized in three main sections. Its *showrooms* are set up in a series of rooms that not only show off each product, but also put products in an actual room context, giving customers ideas for how they might use the products in their homes. The *marketplace* section contains the small items—everything from desk lamps to kitchen utensils—also organized by area of the home. The *warehouse* allows customers to pull their own furniture items in flat-pack boxes and cart them out. One main thoroughfare weaves its way clockwise through the store from one area to the next, a design that encourages customers to see the store in its entirety. Parents can drop their children in the Småland play area and the entire family can eat in the three-meal-a-day restaurant or the snack bar, making it easy to hang around and shop for hours.

## Listening, Understanding, and Adapting

Although most of IKEA's standardized formula works in every market, the company has learned that one size does not fit all when it comes to global customers. So IKEA tweaks its marketing mix in different markets to better meet local consumer needs. The retailer seeks constant feedback from customers in stores, and it visits thousands more each year though in-home visits, observing how consumers live and asking about their dreams and challenges.

When the first U.S. IKEA store opened in Philadelphia in 1985, the beds that it carried were the same as those offered in its other world markets. But Americans weren't buying them, and sales suffered. As IKEA opened more U.S. stores, it worked to figure out the American manner of sleeping. It learned that height, firmness, and maximum size are key bed characteristics sought by U.S. consumers. So, IKEA altered the composition of its mattresses and added king size beds to the mix. Then, it altered the presentation and promotion of these products so the concept was clear. Not surprisingly, its sleep product lines really took off.

A more recent change resulting from listening to consumers in the United States and certain other markets is offering more services. Whereas picking, pulling, hauling, and assembling still works for most people, for others it was all just too much trouble. IKEA now offers flat-rate pricing on pulling orders and home delivery. It even maintains a list of contractors in each market that customers can call on to assemble the items in their homes.

Some markets have required more changes. As IKEA has expanded into Asia, for example, it has learned that customer needs vary substantially from those in Europe and the United States. Take China, for example. With some of the largest cities in the world, China has no shortage of customers. But most of China's 1.3 billion people don't buy home furnishings. So IKEA focuses instead on China's exploding middle class—"the many people" in growing urban populations who are more educated and fall into a 25- to 35-year-old age range. For this reason, IKEA stores in China are located closer to city centers, rather than in the suburbs, and are located near light-rail transportation lines.

Some of the changes for IKEA China are based on the fundamental principle of stocking products that people in a given area will buy. In China, for example, people love a good, hard mattress, so IKEA sells mostly firmer ones there. Whereas IKEA stores in China carry the same number of products as those in other parts of the world—most of them from the standard IKEA range—in China the company also stocks rice cookers and chopsticks. And when IKEA stocked 250,000 placemats commemorating the year of the rooster, they sold out in just weeks.

In massive city centers such as Beijing and Shanghai, home ownership among the middle class has gone from nearly zero to about 70 percent in the past 15 years. Because virtually all new homeowners have little sense for how to furnish and decorate their homes, they are eager to learn from the West. However, not everything that works in more developed parts of the world works in China. For one thing, the average living space in China's crowded cities is much smaller than in Europe and the United States. An average Chinese family lives in a small apartment in a high-rise building, often with multigenerational family members. So in China, IKEA focuses on products geared toward saving space and organizing a household. And it helps consumers figure out how to live smart and organize in small living spaces.

Pricing in China is somewhat of a paradox. Chinese customers are attracted to IKEA's design and the comprehensive selection, so that's where IKEA puts its emphasis in terms of positioning. But at the same time, in emerging markets such as China, low prices are the norm, and IKEA must cut prices drastically to remain competitive. When it first opened its doors in China more than a decade ago, IKEA found that it was more expensive than local low-priced firms. Competitors began selling copies of IKEA's designs at a fraction of the price. Using its cost-cutting expertise, however, IKEA has reduced prices in China by more than 50 percent over the past 10 years. The classic Klippan sofa, for example, now costs only $160, a third of what it did a decade ago (the same sofa costs $470 in Sweden).

Another challenge in selling furniture in the world's most populated country is that there are significant differences across the country's many regions. For example, in some regions, apartments have smaller rooms. Thus, IKEA designs showrooms in those areas to reflect the smaller size. Apartment buildings throughout China have balconies. But in northern China, balconies are widely used for food storage, whereas in southern China, they double as laundries. IKEA showrooms in these regions reflect such differences and regional needs.

The Chinese market features another unusual characteristic—gawkers. IKEA stores in China boast more traffic than those in any other part of the world (the Beijing store pulls in 28,000 customers on a typical Saturday—a strong week's draw for a typical European IKEA). But the majority of visitors just hang out and look. Actually, many visitors are there just to enjoy the air conditioning, a cheap meal, and a place to relax in comfort. People often lounge for extended periods in showrooms as they would in their own living rooms. Some even pull back the covers on an IKEA bed, take off their shoes, and hunker down for a good nap. Whereas this kind of behavior would get customers booted out of IKEAs in other markets, management recognizes that with China's rapidly growing middle class, allowing such behavior is an investment in the future.

IKEA plans to expand its number of stores in China from 15 to 40 during the next six years. But IKEA's China operations are just one example of IKEA's strategy throughout the world. The company also plans to double its number of stores in the United States during the same period. And as IKEA continues to grow in existing markets, it is also eyeing new markets with vast, untapped potential, such as India, where it plans to open 25 stores. Having doubled sales in the past decade, IKEA plans to double them again by 2020. And that's based on the same methodical growth of 20 to 25 new stores per year. With its keen ability to understand the cultural differences of each market and to adapt its marketing accordingly, there seems to be little standing in IKEA's way.

## Questions for Discussion

**19-19** Does IKEA have a truly global strategy, or just a series of regional strategies? Explain.

**19-20** Discuss IKEA's global strategy in terms of the five global product and communications strategies.

**19-21** If IKEA can sell a sofa in China for $160, why doesn't it sell the product at that low price in all of its markets?

**19-22** Can competitors easily duplicate IKEA's strategy? Why or why not?

**19-23** Should IKEA expand more rapidly than 20 to 25 stores per year? Explain.

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## MyMarketingLab

Go to **mymktlab.com** for the following Assisted-graded writing questions:

**19-24** Discuss the strategies used for adapting products to a global market. Which strategy is best? (AACSB: Communication)

**19-25** Name and describe the advantages and disadvantages of the different types of joint venturing when entering a foreign market. (AACSB: Communication; Reflective Thinking)

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